Whangarei District Council Meeting Agenda

Date:	Thursday, 10 April, 2025
Time:	9:00 am
Location:	Civic Centre, Te Iwitahi, 9 Rust Avenue
Elected Members:	His Worship the Mayor Vince Cocurullo
	Cr Gavin Benney
	Cr Nicholas Connop
	Cr Ken Couper
	Cr Jayne Golightly
	Cr Phil Halse
	Cr Deborah Harding
	Cr Patrick Holmes
	Cr Scott McKenzie
	Cr Marie Olsen
	Cr Carol Peters
	Cr Simon Reid
	Cr Phoenix Ruka
	Cr Paul Yovich

For any queries regarding this meeting please contact the Whangarei District Council on (09) 430-4200.

Pages

1. Karakia/Prayer

2. Declarations of Interest / Take Whaipānga

3. Apologies / Kore Tae Mai

4. Decision Reports / Whakatau Rīpoata

4.1 Morningside Flood Relief – Award of additional work 3

4.2 Maintenance and Renewals Contracts Award CON24053 and CON24054 9

5. Public Excluded Business / Rāhui Tangata

6. Closure of Meeting / Te katinga o te Hui

Recommendations contained in the Council agenda may not be the final decision of Council.

Please refer to Council minutes for final resolution.

4.1 Morningside Flood Relief – Award of additional work

Meeting:	Whangarei District Council
Date of meeting:	10 April 2025
Reporting officer:	Felix Ritcher (Infrastructure Capital Programmes - Contractor)

1 Purpose / Te Kaupapa

To increase the value of CON24052 to $5,346,366 to enable award of separable portions 2, 3 and 4 of the Morningside Flood Relief Project.

2 Recommendations / Whakataunga

That the Council:

1. Approves award of separable portions 2, 3 and 4 of the Morningside Flood Relief, thereby increasing the value of CON24052 held by United Civil Contractors from $2,676,915.89 to $5,346,366.
2. Approves the reallocation of Stormwater Renewals capital budget to Level of Service capital budget to a maximum of $3,700,000.

3 Background / Horopaki

The Morningside Flood Relief Project will address the extensive and reoccurring flooding issues in the Morningside catchment area. This project is included in the Long-Term Plan with an approved budget of $3,292,800.

Stage 1 of the project, awarded to United Civil Contractors for the value of $2,676,915.00 under the Chief Executives delegated authority on 10 January 2025, enabled construction of a new pump station at the end of Rawhiti Street.

This project is subsidised by a $3m grant from Crown Infrastructure Partners (CIF) and is progressing well.

As part of the procurement process Council also included separable portions 2, 3 and 4 to extend the stormwater system within Morningside catchment. Separable portions 2, 3 and 4 include a system of pipework (also referred to as the stormwater interceptor) to collect stormwater runoff from the upper Morningside area and convey it directly into Limeburner’s Channel below the new pump station (refer attached plan).

By constructing the interceptor, stormwater can be diverted before it reaches the low-lying properties around Morningside Sports Park and Kaka Street, reducing the volume of water that would otherwise accumulate and require pumping. This not only reduces localised flooding and the amount of water entering Kaka Street, it also improves the level of service offered by the flood relief system and reduces long-term operational costs.

Stage 1 works are scheduled for completion by the end of June 2025, in line with the CIF funding milestones. Separable portions 2, 3 and 4 involves the construction of the stormwater interceptor, and United Civil's submitted tender price for this stage was $2,669,450.18 (excl. GST) and was considered competitive as it was the lowest offer.

The combined value of stage 1, already awarded and separable portions 2, 3 and 4 is $5,346,366.07. United Civil have advised that they have capacity to undertake this work. In addition to the contract for stage 1 and separable portions 2,3 and 4 the project includes costs (i.e. design and investigation, project management and principal supply items) that sit outside of the contract, but are required to complete the project. For completeness these items have been included within the budget breakdown below, resulting in a total project cost of $7,466,614.

This Item provides councillors with an overview of the project, costs and budget for the Morningside Flood Relief Project. In doing so it seeks the award of separable portions 2, 3 and 4 of CON24052 (held by United Civil Contractors) and an increase in the contract value from $2,676,915.89 to $5,346,366. It is proposed that this be funded through a reallocation of the existing Stormwater Renewals capital budget to the Level of Service capital budget.

4 Discussion / Whakawhiti kōrero

4.1 Financial/budget considerations

The United Civil Contract comprises 72% of the total estimated cost for completing stages 1 and 2 Morningside Flood Relief project. The total estimate of $7.466m includes for council buying the pumps and Northpower electrical supply, design, project management as well as a risk allowance of $0.60m. Detail is provided in Table 1.

With Stage 1 nearing completion, and within the annual plan review process, the stormwater capital forward works programme has been reviewed and reconciled by our asset management and finance staff. This review has determined that there is sufficient budget within years 1 to 3 of the LTP to fully fund both Stage 1 and 2 without seeking any further budget. This review included aligning other undefined stormwater projects in the district, reducing the risk of carry forwards and ensuring there was sufficient remaining budget to undertake planned stormwater works.

Upon approval of this agenda item, budget will be reallocated from uncommitted Year 2 and 3 renewals and improvements to the Morningside Flood Relief Project. As these uncommitted budgets are primarily identified as renewals an estimated $3.70m will be reallocated from Renewals to Level of Service.

Table 1 Budget Breakdown

Phase 1- Underway		
Design and investigation	$ 470,450	
Project management	$ 80,000	
Principal sumpply (pumps + electricty)	$ 699,798	
Construction - Seperable Portion 1	$ 2,676,916	$ 3,927,164
Phase 2 - Proposed		
Design and investigation	$ 190,000	
Project management	$ 80,000	
Principal supply items	$ -	
Construction - Seperable Portions 2, 3, 4	$ 2,669,450	$ 2,939,450
Budgeted project risk		$ 600,000
Total project cost		$ 7,466,614
Budget		
Phase 1 -Crown infrastructure Grant		$ 3,000,000
Phase 1 - Council funded		$ 927,164
Phase 2 + risk - Council funded		$ 3,539,450
Total available budget		$7,466,614

4.2 Options

Council may choose to approve, or not approve the extension in contract value. The advantage of awarding the extension of contract is that it would allow the delivery of an improved level of service for the Morningside community, reducing potential flooding impacts going forward. It would also enable the delivery of a project where we have contracted capability to deliver, thereby reducing carry forwards. These advantages would not be achieved if the contract extension is not awarded.

While the reallocation of Stormwater Renewals capital budget to Level of Service capital budget is a potential disadvantage of the award, Council does not currently have the capacity to deliver the stormwater renewals programme, resulting in the potential for carryforwards.

The views and preferences of the Morningside community have been well canvassed in relation to ongoing stormwater issues, with the project reducing stormwater issues going forward. Contractors who had an interest in the works were able to tender through the original procurement process.

4.3 Risks

The tendered contract price of $5,346,366.07 does not include contingency. While the project will continue to be managed to keep within the contract value due to the nature of the work there may be valid reason for a contract increase. As noted above there is some contingency allowed for within the overall budget, but we may need to seek council approval in future if necessary to increase the contract sum.

5 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council’s Significance and Engagement Policy. The public will be informed via publication of this agenda on our website, and through any specific communications relating to the project.

6 Attachments / Ngā Tāpiritanga

Attachment 1 - CON24052 Area of work

TENDER DESIGN

DATE	REVISION	DESCRIPTION
20.11.2024	-	TENDER DESIGN

AMENDMENTS

DESIGN BY:	BM
DRAWN BY:	CT
SCALE (A3 ORIGINAL):	1:1500
DATE:	20.11.2024
CHECKED BY:	NW
DATE:	20.11.2024
CAD REF:	-
CLIENT:	Whangarei District Council
PROJECT:	MORNINGSIDE FLOOD MITIGATION
TITLE:	PROPOSED STORMWATER OVERVIEW
JOB NO:	240806
SHEET NO:	100
REVISION NO:	-

ANDY O'SULLIVAN Geotechnical engineering

weir RAISING THE LEVEL

4.2 Maintenance and Renewals Contract Awards - CON24053 (North) and CON24054 (South)

Meeting:	Whangarei District Council
Date of meeting:	10 April 2025
Reporting officer:	Jeff Devine, Transport Manager

1 Purpose / Te Kaupapa

The purpose of this agenda is to recommend the award of CON24053 (North) & CON24054 (South); to carry out Road Maintenance and Renewals work on the Transportation network of Whangarei District Council for the next 9 years, commencing 01 July 2025.

2 Recommendations / Whakataunga

That the Council:

1. Notes that in accordance with the Procurement Plan, the contracts provide for a total nine year term, made up of three separable portions with a formal review every three years.

2. Notes that a change to the price weighting and non-price attribute weightings in procurement plan was required before the tender was issued.

3. Approves the amendment to the Procurement Plan which adjusted the price weighting from 30% to 50% and made changes to non-price attribute weightings.

4. Approves the award of CON24053 (North) Road Maintenance and Renewals to Fulton Hogan Ltd for a tendered price of $ 37,463,983 for the first three years subject to contract terms being agreed by the parties.

5. Approves the award of CON24054 (South) Road Maintenance and Renewals to Ventia Ltd for a tendered price of $ 53,813,489 for the first three years subject to contract terms being agreed by the parties.

6. Delegates to the Chief Executive authority to negotiate and agree suitable contract terms for each of the contracts.

3 Background / Horopaki

The current Road Maintenance and Renewal contracts (CON17085 and CON17086) will end on 30th June 2025.

In order fulfil our obligations to residents and ratepayers, Council must award new Contracts to commence 1 July 2025 to secure the ongoing maintenance of our transportation assets and continue delivering acceptable levels of service.

Council has been improving the delivery of road maintenance services over the last two years which included a negotiated Separable Portion 3 of the current contracts, changes to traffic management and greater oversight and direction from Council officers. These changes are further supported by the contracts brought to Council for consideration in this agenda.

4 Discussion / Whakawhiti kōrero

4.1 Procurement plan

The Procurement Plan is included in Attachment 1 and was approved at the 24th October 2024 Council meeting. Resolution included below.

Resolution - Majority (Voted)

1	Moved:	Cr Simon Reid
	Seconded:	Cr Carol Peters
	Result:	Carried

That the Council:

1. Approves the Procurement Plan for the Whangarei Road Corridor Maintenance Contracts
2. Notes Additional reporting requirements will be introduced during the contract implementation phase for staff to report on the contract progress and performance to the Chief Executive and the Chairman of the Infrastructure Committee on a quarterly basis in addition to monthly reporting through the Operations Report.
3. Notes that following the procurement process, Contract Awards will be brought back to council for approval. This is expected to be in April 2025.

The objectives of the plan were:

- Continuous improvement for our roads and other ways of getting around,
- Improving resilience of the network,
- A competitive market environment supporting growth in local suppliers and supply chains
- Improving customer satisfaction, improving quality outcomes and value for money,
- A strong safety focus for both those working on and using our roads.

Under the plan the district will continue to be divided into two areas and two distinct contract opportunities:-

- Whangarei North Maintenance Contract.
- Whangarei South Maintenance Contract (includes Central area)

The benefit of continuing with this contract arrangement is to have two contracts of sufficient scale to attract quality contractors and value for money. Future opportunities for lower tier contractors will be maximized through a local market supplier requirement of a minimum of 30%, a separate renewals panel and increasing the scope of the City Centre Custodial Contract (currently managed by Parks).

The contract will be reviewed after three years, and this will provide an opportunity to refine the contract arrangement. This could include putting more work into a City Centre contract if we are not getting the performance expected.

Key changes resulting from this new contract are:

- Inspections – these will be managed by WDC through the Asset Management function. If required, professional services resources will be procured separate to this process.
- Forward works planning – this will be a collaborative effort between WDC and the Contractor.
- No right for all renewals work - A*ll renewal work will be tendered through a separate process with the Maintenance Contractors eligible to tender.*

Physical works contractors were able to tender for both maintenance contracts, however, as per the procurement plan no one contractor can be awarded both the North and South maintenance contracts.

The two maintenance and renewal contracts will be NZS3917 contracts with a total term of 3+3+3 years (9 in total if minimum criteria are met for each roll over) which will include a combination of lump sum and measure and value activities, similar to the current contracts. The 3+3+3 term will allow a review every three years for Contract modifications aligned with LTP changes. The award of the next separable portion and increase in contract value will be brought to Council for approval. The Contract sets out the need to meet minimum PACE evaluation criteria to be considered for the award of the next Separable Portion by Council.

4.2 Development of the Tender Attributes

During the preparation of the Tender document, and prior to Tender issue on the 13th December 2024, staff refined the following elements of the Tender:

Price weighting
The price weighting proposed in the Council approved Procurement Plan was 30%, this weighting was assessed against the draft Engineers estimate and resulted in a Supplier Quality Premium (SQP) that was considered to be untenable, and unlikely to obtain Council support if it was realized during the Tender Evaluation phase and recommended for award.

A 30% price would have resulted in a Supplier Quality Premium value over $10m which is not appropriate given the need to maintain value for money. As a result of this the price weighting was updated to 50% which is more consistent with contracts of this nature and is still lower than the previous contracts which were tendered at a 60% price.

Non price attribute weightings
During the document development period the team further drilled into the critical success factors they needed from the winning tenderer. This identified the key theme of “relationship contracting” and resulted in updating the non-price attributes to reflect this.

To cater for the increase of the price attribute the other attributes were adjusted to obtain the best outcome for the contractors. Track Record and Relevant Experience were assessed as being similar and therefore combined. This also allowed local Tier 1C contractors the ability to be included and assessed against the larger Tier 1 contractors.
A large emphasis was placed on the personnel to be provided by the tenderers to work on the contract so this attribute value remained the same.

Criteria	Procurement Plan	Tender	
Relevant Experience - Organisational	10%	15%	↑
Track Record - organisational	10%	0	↓
Relevant skills - personnel	20%	20%	NC
Methodology	30%	15%	↓
Price	30%	50%	↑

Due to the expediated timeframe, and to ensure that incoming Supplier had 10 weeks of mobilisation prior to the Contract Works commencing on the 1 July 2025, the amendment to the procurement plan was not able to be brought back to Council before tender issue.

The Request for Proposal and Interactive Workshops all used the attributes in the table above and there was no concern from the Probity Auditor.

Post evaluation, a sensitivity test of utilizing the 30% price was undertaken and demonstrated that this would not affect the result of the procurement exercise.

4.3 Tender Process

Contracts CON24053 & CON24054 were publicly advertised on GETS, (Government Electronic Tendering System), on the 13th of December 2024. The Tender period closed on the 4th of March 2025.

The Procurement process was overseen by an independent Probity Auditor. Their support for the process is included in Attachment 2. In their conclusion they note that they were *impressed by the professionalism and even-handed approach of the TET (Tender Evaluation Team),* and that the process for procurement was considered to have *exhibited a high level of integrity and is entirely defensible from a probity perspective*.

Four conforming tenders were received as described below:

- Higgins Contractors Limited, (South only)
- Downer New Zealand Limited, (North & South)
- Ventia NZ Operations Limited, (North & South)
- Fulton Hogan Limited, (North & South)

These four conforming tenders were evaluated using the Price Quality Method in accordance with the Roading Procurement Strategy and the NZTA Procurement Manual.
The result of the evaluation process is described in the tables below:

CON24053 (North) Road Maintenance and Renewals Contract

Tender	Tender Price (excl gst)	Supplier Quality Premium	Adjusted Tender Price (excl gst)
Downer New Zealand Limited	$45,280,929.42	$0.00	$45,280,929.42
Ventia NZ Operations Limited	$41,781,109.27	$920,080.00	$40,861,029.27
Fulton Hogan Limited	$37,114,316.88	$3,500,014.00	$33,614,302.88
Engineer's Estimate	$37,100,000.00		

CON24054 (South) Road Maintenance and Renewals Contract			
Tender	Tender Price (excl gst)	Supplier Quality Premium	Adjusted Tender Price (excl gst)
Higgins Contractors Limited	$63,114,492.08	$0.00	$63,114,492.08
Downer New Zealand Limited	$56,753,642.08	$1,714,608.00	$55,039,034.08
Ventia NZ Operations Limited	$53,813,489.26	$2,964,528.00	$50,848,961.26
Fulton Hogan Limited	$54,512,602.80	$6,469,344.00	$48,043,258.80
Engineer's Estimate	$50,400,000.00		

The Tender documents were evaluated singularly, and the Non Price Score was converted into a Supplier Quality Premium (SQP) for the respective contracts as a function of the Engineers Estimate.

Fulton Hogan scored the highest in the non-price elements so achieved the greatest SQP across both Contracts. Ventia was scored second highest and so obtained the second highest SQP. Downer were third and Higgins scored fourth. Higgins did not submit a bid for North.

All tenderers were asked to select their first pick for Contract Area and were advised this preference would be taken into consideration for the subsequent recommendation to Council for Award.

Fulton Hogan selected the North Contract for their preferred contract area. They also had both the lowest non-adjusted and adjusted Tender price for North.
As no contractor was able to win more than one contract area, this removes Fulton Hogan from consideration for the South Contract area.

Ventia were scored second preferred for non-price elements and had the second lowest adjusted price for South, the remaining contract. They also provided the lowest non-adjusted Tender price for South.

4.4 Post Tender Clarification Meetings

The post tender clarification meeting was held with the first preferred supplier - Fulton Hogan, on the 24th of March 2025.

During this meeting, the tender tags were discussed and resolved, and the tender price was adjusted to account for removal of their tags to ensure an even playing field for all tenderers. This resulted in an increase of their offer by $349,667, bringing the adjusted offer price to $37,463,983.

This meeting also included review of the Contract rates so as to complete the price sustainability check.

The post tender clarification meeting was held with the second preferred supplier - Ventia, on the 25th of March 2025.

There were no material tags in this offer, so the meeting mainly focussed on reviewing the Contract rates so as to concluded price sustainability checks.

5 Financial / Budget Considerations

The total value of the two 3-year contracts recommended for award in this paper is $91,277,472 (or $30,309,157 per year). The available budget for 2025/26 is $39,066,916 per year, based on the Draft Annual Plan 2025/26, with a total 3-year budget of $117,200,748.

It is anticipated that the remaining budget will be allocated through other external contracts to achieve the required levels of service. This explains the majority of the delta between the budget and contract value.

It is also noted that the maintenance contracts included are not fixed price contracts. They are a list of pre-priced schedule of rates, allowing Council to allocate the available budget to achieve the required level of service. I.e. the Maintenance Contracts could be utilised to spend more of the budget if required. An example of this has been the weather events experienced around Cyclone Gabrielle.

Any increase in value for either of these contracts would require a contract variation and will be subject to Council approval. Also the award of the next three years of the Contract will be brought to Council subject to funding and performance.

There is sufficient budget available to proceed with awarding both contracts.

6 Options

	Risks	**Advantages**
Option 1 – Award Contracts		• Supports ability to award Road Maintenance Contracts for 1 July commencement • Fulfils obligations to residents and ratepayers to continue providing acceptable levels of service of our Transportation assets
Option 2 – Do not award. Restart procurement process	• Does not support ability to award Road Maintenance Contracts for 1 July commencement • Current contracts have no right of renewal beyond July 1 as have reached maximum term as permitted by NZTA, so will potentially be left without Road maintenance contractors • May threaten our ability to meet our obligations to residents and ratepayers to continue providing acceptable levels of service of our Transportation assets	

7 Significance and engagement / Te Hira me te Arawhiti

While the value of these contracts triggers the threshold for the Financial criteria within the Significance and Engagement Policy, the budgets and Levels of Service for this activity were consulted on through the 2024 LTP. The award of these contracts is in line with budgets and Levels of Service set following consultation of the 2024 LTP and will enable Council to maintain capability within this activity. Those interested in the contracts had an opportunity to participate through an open tender process. The public will be informed via the publication of this agenda item on the Council website.

8 Attachments / Ngā Tāpiritanga

1. Council Agenda - Procurement Plan
2. Probity Endorsement from Richard Kettelwell, Contracts Lawyer & Probity Auditor for CON24053 (North) & CON24054 (South) Procurement activity.

6.3 Road Corridor Maintenance Contract Procurement Plan

Meeting: Whangarei District Council

Date of meeting: 24 October 2024

Reporting officer: Jeff Devine, Transportation Manager

1 Purpose / Te Kaupapa

To seek Council approval of the Procurement Plan for the Whangarei Road Corridor Maintenance Contracts.

2 Recommendations / Whakataunga

That the Council:

1. Approves the Procurement Plan for the Whangarei Road Corridor Maintenance Contracts
2. Notes Additional reporting requirements will be introduced during the contract implementation phase for staff to report on the contract progress and performance to the Chief Executive and the Chairman of the Infrastructure Committee on a quarterly basis in addition to monthly reporting through the Operations Report.
3. Notes that following the procurement process, Contract Awards will be brought back to council for approval. This is expected to be in April 2025.

3 Background / Horopaki

The current Road Maintenance and Renewal contracts (CON17085 and CON17086) will end on 30th June 2025. It is necessary to prepare for new contracts to ensure continuous maintenance and renewals of the roading assets.

This Procurement Plan is for the procurement of physical works contractors for the new Maintenance and Renewal contracts.

4 Discussion / Whakawhiti kōrero

4.1 Procurement Scope

The key outcomes sought through this procurement are:

- Continuous improvement for our roads and other ways of getting around,
- Improving resilience of the network,
- A competitive market environment supporting growth in local suppliers and supply chains

- Improving customer satisfaction, improving quality outcomes and value for money,
- A strong safety focus for both those working on and using our roads.

WDC is looking for suitably qualified and experienced contractors with the capability and resource to deliver maintenance and renewals activities within the Whangarei district.

The district will continue to be divided into 2 areas and two distinct contract opportunities will be made available within the district:

- Whangarei North Maintenance Contract.
- Whangarei South Maintenance Contract

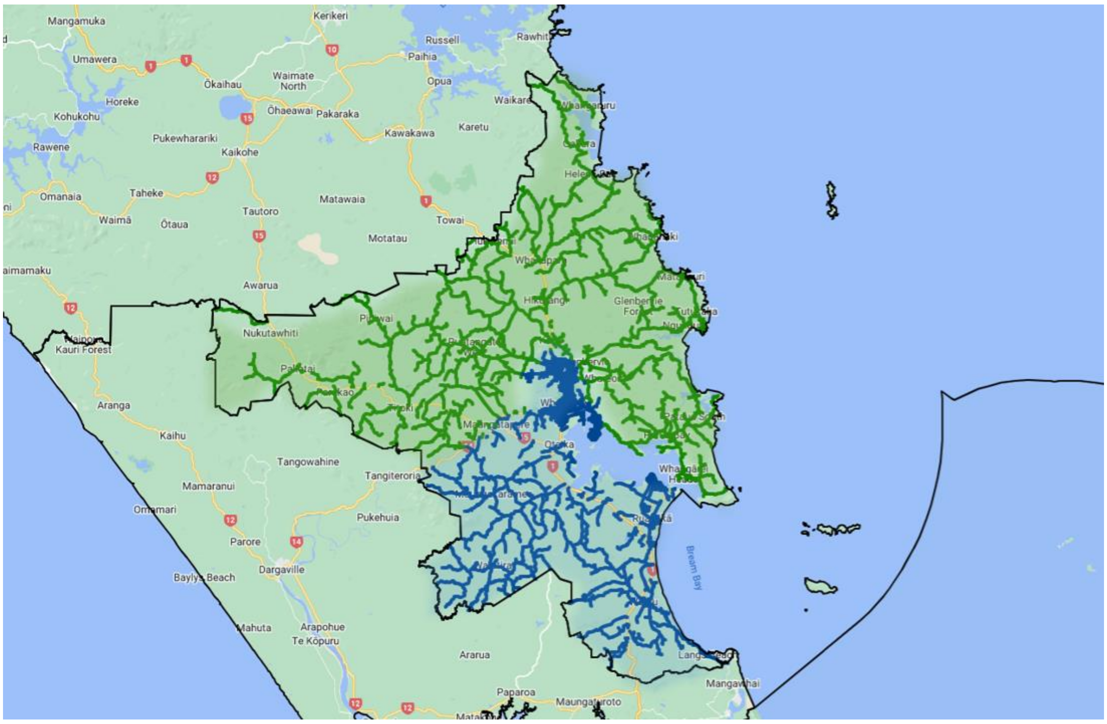

Figure 1: Whangarei North and South Contract Areas

The benefit of continuing with this contract arrangement is that we will have two contracts of sufficient scale to attract quality contractors and value for money. Opportunities for lower tier contractors will be maximized through a local market supplier requirement, a separate renewals panel and increasing the scope of the City Centre Custodial Contract (Currently managed by Parks).

The contract will be reviewed after three years and this will provide an opportunity to refine the contract arrangement. This could include putting more work into a City Centre contract if we are not getting the performance expected.

This approach also reduces the programme risk meaning that we will be able to get to the market quicker.

In parallel to this, WDC will be procuring a local panel of Renewals Contractors who will provide additional capacity for Council to deliver its roading programme. Renewals is likely to include pavement, footpaths and carparks. This approach specifically targets local lower tier suppliers. It also provides an incentive mechanism for the Maintenance Contractor to perform.

Consideration was made to providing a central contract that would be back of kerb to fence line and include some aspects of the City Centre Custodial Contract. It is proposed that some aspects of the current Roading Contract be included in the new City Centre Custodial

Contract for July 25 however at this stage a more significant review will be undertaken in three years' time.

Key changes in this contract are:

- Inspections – these will be managed by WDC through the Asset Management function. If required, professional services resources will be procured separate to this process.
- Forward works planning – this will be a collaborative effort between WDC and the Contractor
- Street Sweeping is likely to be extracted from the Road Maintenance Contract and tendered as a separate contract.
- No right for all renewals work – a proportion to be tendered through the renewals panel

Physical works contractors may tender for both maintenance contracts, however, no one contractor may be awarded both the North and South maintenance contracts.

The two maintenance and renewal contracts will be 9-year NZS3917 contracts which will include a combination of lump sum and measure and value activities, similar to the current contracts. There will be a review after every three years to allow for Contract modifications aligned with LTP changes.

4.2 Timeframes

Both contracts are to be awarded by mid-April 2025 to enable an implementation period prior to WDC business as usual activities commencing 1 July 2025.

The procurement programme is attached to the Procurement Plan.

4.3 Procurement Method

To ensure the required timelines are met, a single-staged open-market procurement process is recommended. The open market tender provides transparency and fairness to all market suppliers who may be interested in high-value road maintenance contract opportunities.

Interested Contractors will be provided with RAM data so that proponents have sufficient time to analyse data, and we achieve a fairer playing field for new suppliers. Interactive workshops with proponents will be held to discuss expectations

To ensure a manageable number of tenders are received (which require evaluation within the tight timeframes), by suppliers who have the appropriate skillsets and resources to manage a contract of this size and scale, strict precondition requirements will be stipulated within the Request for Tender (RFT) documents. Suppliers who do not meet all precondition requirements, and who do not meet all pass/fail requirements, can be removed from further evaluation.

The two RFTs will be released and evaluated in parallel.

Each boundary area will be one contract. Both North and South contracts will not be awarded to any one contractor.

Non-Price attributes within the Maintenance Contract RFT documents will be separated into two categories:

- General Requirements – Requirements that are not specific to a contract or area. This information is to be completed by all Tenderers.
- Contract / Area Specific Requirements – Requirements specifically relating to the maintenance or renewals scope and the area being tendered for. This information is to be completed only by those Tenderers tendering for that specific contract.

4.4 Evaluation Criteria

The table below details the tender criteria, and the weightings that will be used for both Maintenance Contract RFTs.

These criteria will be used to formulate specific questions for tenderers to respond to within the RFT documentation. Subject to review following compilation of the tender documents.

Criteria	Weighting
Relevant Experience - Organisational	10%
Track Record - Organisational	10%
Relevant Skills - Personnel	20%
Methodology	30%
Price	30%

4.5 Evaluation Method

The Price Quality Method (PQM) of evaluation will be used. PQM is a supplier selection method where the preferred supplier is selected by balancing price and quality via a formula. PQM is used where the best value for money will be obtained by having suppliers compete on both price and quality and selecting the supplier that offers the best combination of the two. The process to determine how additional quality is valued must be clearly described in the tender.

Following the conclusion of the tender evaluation process, and upon agreement of all TET members, a tender evaluation and recommendation report (TER) will be submitted for approval. This report will provide summary details of the tender evaluation process and will provide a recommendation of those suppliers who should be awarded a contract.

Once the TER has been approved, award and decline letters will be sent to all tenderers notifying of the tender outcome. Following this, those tenderers who wish to receive a tender debrief may request one.

Award of Contracts will be brought to Council for approval in April 2025.

4.6 Reporting

As part of the implementation of these future contracts it is felt its is important to keep Councillors better informed of the progress and performance of the contracts and the contractors. It is intended to include a requirement for staff to provide an update to the Chief Executive and the Chairman of the Infrastructure Committee on a quarterly basis in addition to the monthly Operational Report for Councillors on the performance of the contractors against the finances and KPI’s defined in the contracts.

4.7 Financial/budget considerations

The annual approved NZTA budget is $45M per annum across the whole district, plus any unsubsidised work.

The size of each new contract is detailed in the table below:

Contract Name	Current Contractor	Current Contract Value per annum	Future Contract Value per annum	Total size (km)	Local Roads – Urban Size (km)	Local Roads – Rural Size (km)	Sealed (km)	Unsealed (km)
Whangarei (North) Road Maintenance & Renewals	Fulton Hogan	$17M	**$22M**	943	38	905	533	409
Whangarei (South) Road Maintenance & Renewals	Downer	$18M	**$23M**	819	295	524	549	270

The contract value for each area will be reduced by circa $2m to enable some renewals work to be undertaken through the Renewals Panel

As a 9 year contract the total value for this procurement activity is circa $400m uninflated.

Budget is available from the Long-Term Plan (LTP) and a 53% FAR subsidy from the Regional Land Transport Plan (RLTP) has been made available.

Over the course of the contract there will be adjustments to the level of work so that it is within Council Budget. Noting that Council Budget is subject to Waka Kotahi funding assistance rate as well as Council decisions regarding allocation of local share.

4.8 Policy and planning implications

None

4.9 Options

Option 1 is to approve the Procurement Plan so that the new contracts can be awarded mid-2025.

Option 2 is to require that officers investigate alternative procurement options. This would delay award till later in 2025 but could be accommodated with an extension to current contracts.

Option 1 is the recommended option.

4.10 Risks

The Whangarei District Council Roading (Transportation) team have extensive experience in developing and procuring contracts. As such the risk is considered low, although the timeframe is constrained.

Procurement Risks have been identified within the Procurement Strategy and remain unchanged. The risk register is included at Appendix 1.

5 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website.

The tender will be public, and the Procurement Plan is being approved in public forum. There will be an industry briefing for all Contractors who register their interest.

6 Attachment / Ngā Tāpiritanga

Appendix 1 Procurement Plan - Including Programme and Risk Register

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26 March 2025

Laura Devcich
Whangarei District Council
Te Iwitahi Civic Centre
9 Rust Avenue
Whangarei 0110

BY EMAIL:
laura.devcich@wdc.govt.nz

Dear Laura,

WDC CONTRACTS 24053 (NORTH) / 24054 (SOUTH) – NETWORK ROAD MAINTENANCE & RENEWALS CONTRACT – PROBITY REPORT

Purpose

1. This is the probity report for the procurement of Whangarei District Council's (**Council** / **WDC**) Network Road Maintenance & Renewals Contracts.

2. The purpose of this document is to provide probity assurance to the decision maker/s tasked with acting on the Tender Evaluation Team's (**TET**) recommendations regarding the selection of the preferred tenderer.

Report

3. WDC is seeking contractors to deliver the district's roading network maintenance once the existing term contracts end on 30 June 2025. The delivery of Maintenance and Renewals activities for the roading networks across Whangarei accounts for the most significant portion of the district's transportation expenditure with current annual expenditure in the region of $30m across the network.

4. The network has been split into two parts and two contracts – Contract 24053 (North) being 533km of sealed and 407km of unsealed road and Contract 24054 (South) being 532km of sealed and 270km of unsealed road.

5. The Request For Proposals (**RFP**) specified that a contractor could only win one of the two available contracts, thus ensuring the work is shared between two participants and preserving a competitive presence of at least two contractors within the district with sustainable workloads. This is important for the preservation of fairness for the contracting community and value for money for ratepayers.

6. Both contracts (North and South) envisage an initial 3-year term followed by 2 x successive 3-year options to extend, giving a total maximum of 9 years before the contracts must be re-tendered.

Tender Methodology, Attributes and Weightings

7. The tender selection methodology was Price Quality Method, generally in accordance with the New Zealand Transport Agency's rules and approach. The price and non-price attributes and weightings were as represented in the table below:

Attribute	Weighting
NZ Transport Agency's Prequalification for Physical Works– Level C (1C), Surfacing – Level B (2B) and construction – Level C (4C)	Pass / Fail
Health & Safety - Tōtika assessment score of 85% or above	Pass / Fail
Recent Project Scale – at least two road construction or road maintenance projects valued at $5M or more in the past five years	Pass / Fail
Resources	Pass / Fail
30% SME Minimum	Pass / Fail
Relevant Experience (of company)	15%
Relevant Skills (of proposed team)	20%
Methodology (programme management and delivery)	15%
Price	50%
	100%

8. The Tender Evaluation Team ("**TET**") consisted of:

- Ben Sherriff (Resolve Group) (TET Chair);
- Tim Ward (WDC);
- Mark Seakins (WDC); and
- Mike Bachelor (WDC).

9. The TET was assisted by:

- Laura Devcich (WDC) (tender secretary);
- Scott Verevis (WDC) (technical input);
- Debbie Keane (Resolve Group) (administrator); and
- Darren Edwards (Resolve Group) (independent price schedule analysis).

10. The group worked well together, exhibiting a consistent blend of detailed analysis and technical expertise balanced with experience. All member's views were considered and discussed professionally and no single individual dominated the meetings/scoring.

11. The writer was the Probity Advisor for the process, having fulfilled the same role when the existing contracts were tendered under the now dissolved Northland Transportation Alliance in 2018, as well as for numerous other maintenance and infrastructure tenders for territorial authorities throughout New Zealand.

Process

12. The RFP was issued to the market via GETS on 13 December 2024.

13. Conflict of Interest declarations were completed and reviewed by the writer. No conflicts were expressly identified. All of the TET had past professional relationships with the tendering companies. This is nothing unusual in the New Zealand market, and in particular in Northland where three of the four tenderers already have an established presence and existing/recent contracts with WDC.

14. Tenders closed on 4 March 2025. Four tenders were received:

- Downer New Zealand Limited;
- Higgins Contractors Limited;
- Ventia NZ Operations Limited; and
- Fulton Hogan Limited.

15. Preliminary compliance checks were undertaken by Resolve Group and the tender secretary with no non-compliance issues been noted. The TET undertook individual scoring of the non-price tender response forms between 5 and 15 March 2025.

16. Referee checks were performed by Debbie Keane of Resolve Group. In addition, and due to the tight timeframes a price schedule analysis was undertaken at Resolve Group's offices in Auckland, independently by Darren Edwards. This was only done following receipt of written assurance from Resolve Group's manager that Mr Edward's access to the price schedules would be securely confined to himself within Resolve Group's IT system and could not be accessed by anyone else.

17. On 13/14 March 2025, the TET convened in Whangarei to discuss the individual members' scores to arrive at preliminary moderated consensus scores for each non-price attribute. This work was undertaken over two full days and included an assessment of the referee checks that had been completed to that point.

18. Supplier presentations were conducted from 17 to 19 March 2025 in Whangarei. These sessions were identical in format and duration to ensure fairness. The writer attended all of the presentations. Reflection and final consensus scoring was undertaken on 20 March 2025, the scores and resulting Supplier Quality Premiums (SQP) are as summarised in the table below with the SQP representing the additional value of money inherent in a high scoring non-price attribute response (ie higher quality):

Attribute	**Weighting**	**Downer**	**Fulton Hogan**	**Higgins**	**Ventia**
Relevant Experience	15%	71.00	83.33	64.33	76.67
Relevant Skills	20%	73.70	80.65	67.40	72.85
Resources	Pass / Fail	Pass	Pass	Pass	Pass
Methodology	15%	66.53	76.38	70.26	70.26
SQP (North)		00.00	3,514,080.00	No tender submitted	920,080.00
SQP (South)		1,714,608.00	6,469,344.00	00.00	2,964,528.00

19. At this point the non-price scores were signed off and finalised by the TET members and the WDC Transportation Manager with the price file being deemed opened, prices across the two contracts (North and South) were as set out in the table below:

	Downer	**Higgins**	**Ventia**	**Fulton Hogan**
WDC North Contract	$45,280,929.42	No price submitted	$41,781,109.27	$37,114,316.88

WDC South Contract	$56,753,642.08	$63,114,492.08	$53,813,489.26	$54,512,602.80

20. Effective prices, net of SQP, were therefore:

	Downer	**Higgins**	**Ventia**	**Fulton Hogan**
WDC North Contract	$45,280,929.42	No price submitted	$40,861,029.27	$33,614,302.88
WDC South Contract	$55,039,034,08	$63,114,492.08	$50,848,961.26	$48,043,258.80

21. Fulton Hogan achieved the best adjusted score in both contracts. However, the RFP had (properly in our view – see paragraph 5 above) specified that the two contracts should be split between two contractors. Ultimate discretion as to allocation lay with WDC but in any event Fulton Hogan's expressed preference for the North conveniently corresponded with the overall best value for money being achieved by awarding the North contract to Fulton Hogan and the South to Ventia (as the next best scoring South contract bid).

22. Subsequently post-tender negotiations with the preferred tenderers for the two contracts have taken place and being fruitful such that the TET has prepared a recommendation for Council that Fulton Hogan be awarded the contract for the North and Ventia be awarded the contract for the South. We have read a draft of that recommendation.

Conclusion

23. In the course of this procurement the writer has reviewed the RFP, vetted the Conflict of Interest declarations, observed the initial moderation meetings, supplier interactive presentations and the final moderation by the TET. We attended several days of in-person evaluation meetings with the TET and were impressed by the professionalism and even-handed approach of the TET. No bias was detected in conversation or evident in any individual member's scoring. Compliance with the process set out in RFP and its associated rules was diligent and thorough.

24. The process for the procurement of Whangarei District Council's Contracts 24053 (North) and 24054 (South) Network Road Maintenance & Renewals are considered to have exhibited a high level of integrity and is entirely defensible from a probity perspective.

25. We have no hesitation in advising that there are no probity barriers to Fulton Hogan Limited being awarded the contract 24053 (North) and Ventia NZ Operations Limited being awarded the contract 24054 (South). If anyone has any questions or wishes to discuss this report, confidentially or otherwise, please contact the writer.

Yours faithfully
SHARP TUDHOPE
per:

Richard Kettelwell
Partner

RESOLUTION TO EXCLUDE THE PUBLIC That the public be excluded from the following parts of proceedings of this meeting. The general subject of each matter to be considered while the public is excluded, the reason for passing this resolution in relation to each matter, and the specific grounds under Section 48(1) of the Local Government Official Information and Meetings Act 1987 for the passing of this resolution are as follows:	
1.	The making available of information would be likely to unreasonably prejudice the commercial position of persons who are the subject of the information. {Section 7(2)(c)}
2.	To enable the council (the committee) to carry on without prejudice or disadvantage commercial negotiations. {(Section 7(2)(i)}.
3.	To protect the privacy of natural persons. {Section 7(2)(a)}.
4.	Publicity prior to successful prosecution of the individuals named would be contrary to the laws of natural justice and may constitute contempt of court. {Section 48(1)(b)}.
5.	To protect information which is the subject to an obligation of confidence, the publication of such information would be likely to prejudice the supply of information from the same source and it is in the public interest that such information should continue to be supplied. {Section7(2)(c)(i)}.
6.	In order to maintain legal professional privilege. {Section 2(g)}.
7.	To enable the council to carry on without prejudice or disadvantage, negotiations {Section 7(2)(i)}.

Resolution to allow members of the public to remain

If the council/committee wishes members of the public to remain during discussion of confidential items the following additional recommendation will need to be passed:

Move/Second

"That ______________________________ be permitted to remain at this meeting, after the public has been excluded, because of his/her/their knowledge of Item ______________.

This knowledge, which will be of assistance in relation to the matter to be discussed, is relevant to that matter because ______________________________.

Note:

Every resolution to exclude the public shall be put at a time when the meeting is open to the public.